

- 4) State whether following statements are True or False.
- a) Import quota can also be called the unilateral quota.
 - b) Voluntary export restraints are imposed by importing country itself.
 - c) The raging war at WTO nowadays between developed and developing countries is about import quotas.
 - d) Tariffs are the most popular policy measure by which governments across the world have been interfering with the movement of goods between countries.

5.4 ECONOMIC AND NON-ECONOMIC ARGUMENTS FOR PROTECTIONISM

At different times, several economic and non-economic arguments in favour of protection policies were put forward by economists to justify the protected trade. Some of those arguments are widely accepted and recognized, however, others are rejected outrightly as they proved to be fallacious.

5.4.1 Economic Arguments

The economic arguments mainly focus on strengthening industrialisation and protecting balance of payment from deterioration. The six common economic arguments in favour of protectionism policies are:

Infant Industry

Protectionist policies are advocated to protect the infant industry from foreign exporters. The infant industries refer to small & young industries which lack the experience and expertise to face the competition from established foreign industries. Such sectors have high operating costs in the initial stages of their growth so it becomes highly difficult for such industries to compete with foreign exporters. For example, developing countries like India, Bangladesh, Pakistan, and Sri Lanka often use the excuse of infant industry to impose trade barriers to compete in the international market. Thus, such industries require protection through suitable tariff policies to survive and develop in the long run. The core of this argument can be understood with this saying- 'Nurse the baby, protect the child, and free the adult'. This underlines the significance of protecting domestic industries temporarily until they mature enough to compete against the foreign competition without protection.

However, most of these industries never become mature enough to compete with foreign industries as they do not want these benefits to go away and thus demand the continuation of protection. Mainly for political reasons, it becomes an uphill task for any government to remove protections from infant industries. The critics of this argument emphasized that trade barriers should be imposed temporarily and phased out once the local industries mature enough to compete with foreign exporters.

Diversification of Industries

Protectionism policy plays a significant role in diversifying domestic industries, especially in developing countries. Any country needs to diversify its industrial structure in the long run as the risk of losing foreign markets reduces. Protectionist policies help diversify industries, increasing trade in the long run. This argument laid emphasis on self-sufficiency.

Employment Generation & Protection

Economists advocate protectionism as it helps in creating and protecting jobs in a country. Domestic industries should be given protection in order to deal with the dynamics of the global economy such as inflation because local industries produce more jobs than foreign industries. For example, developing countries use trade barriers to protect employment in that country which is vulnerable to efficient foreign labour.

However, the protectionist policies or ‘beggar-my-neighbour high-tariff policy can create employment only in the short run until other countries reciprocate. So, this argument is fallacious and not convincing as the foreign employment opportunities reduce by limiting imports, and only through export surplus jobs cannot be preserved for a long time.

“Pauper Labour” Argument

Sometimes Protectionist policies are favored by the advanced countries to safeguard employment because the less developed and developing countries have cheaper labour, providing such countries with an unfair advantage. In the absence of protectionist policies, such countries stand to gain more and promote unfair competition in the market. Therefore, it becomes essential to protect the domestic industries from “pauper labour” countries so that higher wages and higher standards of living in developed countries could be maintained. However, the “Pauper Labour” Argument overlooks that labour is not the only factor of production. The rise in the productivity of labour does not necessarily imply an increase in the cost of production. For instance, the pauper labour country uses labour-intensive techniques that may have low productivity, increasing production costs.

Balance of Trade (BOT) Disequilibrium

Protectionism policies have been favoured since World War II to correct the Balance of Trade (BOT) disequilibrium. Tariff policy could be used to create or maintain favorable Balance of trade. Some countries always run a deficit in their BOT, meaning their imports exceed exports. Thus, import tariffs are imposed to create a favorable Balance of trade. In other words, when there is an excess of imports over exports that country is highly dependent on imports thereby a favorable BOT could be maintained by imposing import tariffs. As a result of which, a surplus will create in the BOT of that country. However, this argument is also fallacious. Neither exporter nor importer would gain if all countries follow such a policy at the same time.

Anti-Dumping Regulations

Protectionist policies are advocated to resist dumping practices. A government may resort to anti-Dumping tariffs on the ground that the exporting country is selling a product in the home market at a lower price than in the overseas market. Dumping refers to the price discrimination policy where the seller discriminates between domestic and overseas buyers by selling at lower prices in the overseas market than the home market. Dumping may be resorted temporarily or persistently, driving out competition in the market where the product is dumped. For example, Japanese cameras are more affordable in New York than Japan. Therefore, the tariffs may be justified to prevent the adverse effects of dumping. The WTO justifies anti-dumping tariffs since such practices affect the local producers of similar or substitute products. The consumers stand to gain from dumping only in the short run. In long run, this could be proved fatal for the local producers but benefits the foreign suppliers. The industries adopt this protectionist policy to capture the market share in offshores or unloading the excessive production.

5.4.2 Non-Economic Arguments

Having explained the economic arguments, let us briefly overview non-economic arguments for the protectionism policies. The non-economic arguments are political in nature. The most common three non-economic arguments are explained below:

Defence Argument

From the security concerns, self-sufficiency should be attained by every country. Over-dependence on other nations could be proved fatal in war times. For example, considering this concern, India has covered the defence & aerospace sector under 'Make in India' for 'Atmanirbhar Bharat' by pushing the indigenous manufacturing infrastructure.

Swadeshi Argument

Every citizen should vouch for Swadeshi products to support their economy as supporting Swadeshi will inject the feeling of patriotism and strengthen the economy. It generates more employment in the country by boosting the domestic industry which will further help the economy to grow & prosper. In India, being 'Vocal for local' initiative is an example of promoting indigenous goods. Every citizen must prefer homemade (swadeshi) goods to foreign goods. So, Swadeshi products need to be protected through a suitable tariff policy.

Preservation Argument

Protectionist policies are also advocated to preserve certain occupations such as the agricultural sector. In every economy, the agricultural industry has always been the pillar that is why it is highly protected by tariff policy across both developed and developing worlds. When agricultural industries or farmers stand

to lose from the falling import prices, then countries charge tariffs. For example, in 1819, during Napoleon War, England levied tariffs on wheat to save the peasantry and prevent the production of grains.

5.5 ARGUMENTS AGAINST PROTECTIONISM

After understanding the reasons for Protectionism, let us now discuss the arguments against protectionism.

Reduces World Production and Consumption

The tariffs on imported goods put the exporting country at disadvantage. As they have attained a cost advantage in producing such goods and despite being efficient in producing them, they are not allowed to trade due to the policy of protectionism. So, trade barriers limit the world's production and consumption of goods and services.

Consumers offered inferior quality goods

Protectionist policies affect the welfare of local consumers. Owing to protected trade, efficient foreign firms could not offer high-quality products at a reasonable rate. In order to protect domestic industries, governments often forced the consumer to buy local products of low quality at higher prices. So, the local consumers welfare gets neglected while enforcing trade protectionism policies.

Shields Weak Domestic Industries

It is often argued that trade barriers shield the inefficient local industries which are vulnerable to foreign competition. Protectionism policies are being given to new and small industries which will take time to become efficient in production and reap the benefits of economies of scale. So, these firms are protected to become efficient in the long run but for now, such firms lack efficiency in the production of goods. That is why economists have said that protectionism shields weak domestic industries.

Promotes Conflicts and Trade Wars

Several economists argued that tariffs affect local consumers and create distortions in the market. As a tool of protectionism, tariff causes a hike in the price of imported goods. Therefore, consumers would shift away from expensive imported goods and prefer to buy domestic goods which is relatively cheaper. Another concern related to tariff is that it leads to a trade war. As countries would retaliate and impose tit-for-tat tariffs on their respective exports. Ultimately, the consequences of tariffs are borne by the imposing country's consumers, not the exporting. For instance, under the Trump administration, steep tariffs were imposed on billion-dollar goods from China, the EU, Canada, and Mexico. All these countries retaliated with tariffs on a range of US products.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What do you understand by infant industry?

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2) What is anti-dumping practice?

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3) What do you mean by Balance of Trade disequilibrium?

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4) Enumerate the case for protectionism.

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5) Why the governments should not resort to protectionism policy?

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5.6 LET US SUM UP

In this unit, we discussed about Free trade benefits all but Protectionism, if adopted may or may not benefit all. However, countries do not always adopt free trade policy. Because of protectionism policies, the inefficient industry gets protected, promoting inefficiency in the system. We also presented Economic and non-economic arguments for protectionism.

5.7 KEY WORDS

Tariffs	Duty levied on imported goods.
Free Trade	Absence of restrictions on export and import.
Subsidies	Direct or indirect financial assistance from governments to certain sectors to enhance their competitiveness.
Voluntary Export Restraints	Self-imposed restriction on the export quantity of a good that is permitted to export to another country.
Quotas	A non-tariff barrier which restrict the quantitative amount of a product allowed to be imported into or exported out of a country.
Non-Tariff Barriers	Barriers other than tariffs that restrict the foreign trade.
Dumping	The underpricing of exports, usually below cost or below the home country price.
Protectionist Policies	Government controls or measures such as tariffs, quotas, and subsidies to restrict international trade so that local industries can be shielded or protected from foreign competition.
Balance of Trade	Difference between the merchandise exports and imports.
Trade creation	A situation where trade with non-member countries get increased after the formation of free trade or other regional groupings.
Trade Diversion	A situation where trade with non-member countries is diverted to member countries as an outcome of the formation of a regional grouping.

5.8 SOME USEFUL REFERENCES

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5.9 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) Refer to section 5.2.1
- 2) Refer to section 5.2.1
- 3) Refer to section 5.2
- 4) a) True b) True c) False d) True

Check your progress 2

- 1) Refer to section 5.3
- 2) Refer to section 5.3
- 3) Refer to section 5.3
- 4) a) True b) False c) False d) True

Check your progress 3

- 1) Refer to section 5.4.1
- 2) Refer to section 5.4.1
- 3) Refer to section 5.4.1
- 4) Refer to section 5.4
- 5) Refer to section 5.5

UNIT 6 INSTRUMENTS OF PROTECTIONISM *

Structure

6.0 Objectives

6.1 Introduction

6.2 Tariff Barriers

6.2.1 Classification of Tariffs

6.2.2 Effective rate of protection

6.2.3 Economic Impact of Import Tariff in partial equilibrium analysis

6.2.4 General Equilibrium Analysis: Impact of Tariff on Volume of Trade and Terms of Trade (TOT)

6.3 Export subsidy

6.4 Non Tariff barriers

6.4.1 Import Quota

6.4.2 Voluntary Export Restraint

6.4.3 Other Non-tariff Barriers

6.5 Let us Sum Up

6.6 Key Words

6.7 Some Useful Books

6.8 Answers/Hints to Check Your Progress Exercises

6.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain various tariff and non-tariff barriers;
- identify the economic impact of Import tariff in partial equilibrium analysis;
- explain the effect of a tariff on production and consumption;
- describe export subsidy and its impact on the economy;
- identify the welfare effects of an export subsidy on producer and consumer groups and the government in the exporting country;
- calculate the national and world welfare effects of an export subsidy; and
- explain various quantitative restrictions in international trade.

* Adapted from Unit 4 of the course MEC 004 written by Dr. Ananya Ghosh Dastidar

6.1 INTRODUCTION

In unit 5, we discussed free trade and protectionism. Free trade allows imports and exports without tariffs or other trade barriers. At the same time, protectionism imply restrictions imposed on international trade to protect domestic industries. The idea behind protectionist policies is to benefit the domestic producers. We also discussed about benefits and costs associated with protectionism. In present unit, we will discuss about instruments of protectionism. The tools of trade protection that countries typically use to restrict imports can be broadly classified into price-related measures such as tariffs and non-price measures or non-tariff barriers (NTBs).

A tariff is a tax imposed on imports. Tariffs can be imposed on imports of both final and intermediate goods. Tariff on final and intermediate goods is considered while estimating the effective rate of protection provided to the domestic industries.

In this unit, we will discuss the concept of 'effective rate of protection', which measures the extent of actual protection provided to domestic industry based on tariffs imposed on final and intermediate goods. Non-tariff barriers (NTBs) are applied to quantities and other attributes of traded goods and services.

We discuss each of these instruments of trade protection in turn.

The tools or instruments of trade protection that countries use to restrict imports can be classified into two categories: tariffs, price-related measures, and non-tariff barriers (NTBs), which are non-price measures.

Tariffs: Tariffs are taxes that are imposed on imported goods. They increase the price of imported goods, making them less competitive in the domestic market, which can provide some degree of protection to domestic producers. There are different types of tariffs, such as specific tariffs (based on the quantity or weight of the imported goods) and ad valorem tariffs (based on the value of the imported goods). Tariffs can be imposed at different stages of production or trade, such as at the border or on intermediate goods, which affects the overall level of protection provided to domestic producers.

Non-tariff barriers (NTBs): NTBs are measures that countries use to restrict imports without necessarily imposing a tax or a duty on imported goods. These can include measures such as quotas, which limit the quantity of a particular product that can be imported into a country, and voluntary export restraints (VERs), which are agreements between exporting and importing countries that limit the quantity of exports of a particular product. NTBs can also include technical barriers to trade (TBTs), which are regulations or standards that are used to restrict imports of certain products, and anti-dumping measures, which are imposed when a foreign producer is found to be selling goods in the domestic market at a lower price than in the exporting country.

In addition to these measures, subsidies are another tool that countries use to protect domestic industries. Subsidies are payments or other types of support provided by governments to domestic producers. They can be used to make domestic products more competitive by reducing their production costs, which can help protect domestic industries from foreign competition.

It is important to note that while these measures can protect domestic industries, they can also negatively affect consumers by increasing the cost of imported goods and other industries that rely on imports of intermediate goods. Therefore, countries need to carefully consider the trade-offs involved in using protectionist measures and weigh the benefits of protecting domestic industries against the costs to consumers and other industries.

6.2 TARIFF BARRIERS

As we have discussed in the previous unit, Tariff is a duty or tax imposed by the government of a country upon the traded commodity as it crosses the national boundaries. The levying of import tariffs brings relative changes in the prices of factors and products. Thus, the tariff brings an important change in the structure of international trade. Though many, various trade barriers advocate free trade, do exist in international trade. An import tariff is one of them. We have discussed various arguments in favour of trade protectionism in Unit 5. Majorly, countries impose trade barriers to protect their domestic industries or sectors from foreign competition, to conserve the foreign exchange reserves of the country and also to avoid dumping

In this section, we will discuss different categories of tariffs along with the effect of a tariff on the economy.

6.2.1 Classification of Tariffs

Tariffs are of several types, and these can be classified into different groups or sub-groups as below:

1) Classification based on Criterion for tariff imposition:

Based on the criterion for tariff imposition

These can be of the following types:

- a) Specific tariff,
- b) Ad Valorem tariff,
- c) Compound tariff and

a) **Specific Tariff:**

A specific tariff is the fixed sum levied on each unit of the commodity imported or exported. Sometimes, weight or any other measurement of a commodity is charged instead of the physical unit. Such duties can be